Economic Principles for A New World Order of Multipolarity and Multilateralism

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Abstract

This paper argues that, besides geopolitical and security factors, economic variables are now key causal drivers for change in world order. While this is not the first time world order is splintering, economic interconnectedness traditionally raised the costs of fragmentation and thus served to hold the world together. Now, however, the logic is reversed: economic integration is, instead, a prime contributor to fragmentation. New mindsets are, therefore, needed. The paper proposes three guiding principles for world order: First, build mechanisms for inadvertent cooperation, requiring for success not explicit collaboration but only individual-nations advancing their self-interest; second, separate out problem domains where only zero-sum outcomes are available from those where mutual gain is available, possibly by nudges; and third, provide space for constrained multilateralism—whether plurilateral, minilateral, or otherwise—that is open and inclusive, and that will permit full-blown multilateralism to re-emerge where possible.

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1 Introduction

If world order is fragmenting, that provides opportunity to reconstruct the international system. But to do so effectively requires first understanding the drivers underlying the fragmentation, and then putting in place a design that takes into account and uses to advantage those centrifugal forces.

World order is the operating environment for the global community—the cross section of nations with diverse self-interests, at different stages of development, with populations seeing different levels of income. That global community chooses to hew to the international system's rules, norms, and conventions when the benefits to doing so exceed the costs of deviating. Subject to remaining within an accepted locus of flexibility and dissent, not all nations need take precisely identical trajectories of practice. World order faces pressures to fragment when the choices that nations make are mutually inconsistent or otherwise put pressure on the boundaries of acceptable behaviour.

This paper builds on the state of the international system as described in Georgieva (2023), Gopinath (2024), and others, to propose principles for a world order that works, not necessarily optimally, but just reasonably well. The traditional thinking is that most geopolitical and security concerns, all else equal, tend to lead to ever greater world fragmentation, as values, interventions, and threat perceptions all collide ever more obviously. Thus, such geopolitical and security considerations naturally provide a centrifugal force to the international system. In that traditional thinking, however, the global community also values how economic integration—international trade, foreign investment, cross-border flows of finance, ideas, and people—make for increased efficiency, production diversification, economies of scale, and thus increased prosperity, and so provides a centripetal force to hold the world together. World order holds in balance these centripetal and centrifugal forces.

The fragmentation of world order described in, among others, Georgieva (2023); Gopinath (2024) reflects an increase in centrifugal forces, and is predicted to precipitate not only a decline in economic prosperity worldwide but an increase in the likelihood of international violent conflict. The

proposal in the current paper shares the same motivations as Gopinath (2024), Rodrik and Walt (2022), Tucker (2022), Vines (2023), and others, who seek to repair or navigate world order's fragmentation.

However, unlike many others, this paper takes an opposing view on the role of economic factors in world order. The paper suggests that economic considerations now provide not a centripetal tendency but instead have joined the driving forces for world fragmentation. The reason is simple: Economic integration is no longer unambiguously viewed positively in many of the world's polities. That trade is hypothesised to lead to increased income inequality is one powerful driver for this. More generally, however, it is because economic integration changes prices; those for whom prices fall will obviously be opposed to such developments (Quah, 2024).

Previously, pursuing geopolitical or security goals that put up barriers to economic integration come at economic cost to oneself and one's allies. Policymakers would be reconciled to the idea that that cost was, unfortunately, necessary. Now, however, that economic cost has turned to economic benefit. Across significant parts of Western Europe and the US, it is the so-called "China Shock" that has grown uppermost in the thinking of policymakers, where trade with China is viewed to be "taking our jobs, hollowing out our industry, stealing our intellectual property".

Thus, the traditionally opposing drivers in world order have now aligned instead. This multicollinearity of different forces all working in sync confounds attribution of the ultimate cause for world fragmentation. Policy discussion finds it progressively less relevant to unpack if international disagreement is genuinely because of discord on political values or because one's economy is no longer competitive along traditional lines and, thus, can no longer generate sufficient prosperity for one's citizens. Language such as "working to impede China's advance" or "deter China" have become conventional, with different political and economic stakeholders interpolating into them whatever meaning is convenient.

This alignment of centrifugal forces means simply urging cooperation between nations will be even less likely to be effective in reducing world fragmentation (Gaspar, Hagan, and Obstfeld, 2018; Sanders, 2023; United Nations, 2021). Instead, more helpful will be principles that are finetuned to work against each of the different causes.

The analysis in this paper seeks to provide mechanisms that help keep together world order, even with this turn around in perspective. On the

economic reasoning that underlies the paper's proposals, e.g., the analysis of "inadvertent cooperation", the closest previous study is Armstrong and Quah (2023). That latter, however, draws still on a traditional model of economic and security considerations working in opposition to each other. By contrast, the current analysis maintains the hypothesis that those drivers now work in the same direction. This paper thus advocates principles that work, not to resolve a hypothesised tension between economic interconnectedness and security and geopolitics, but to keep world order together, even in opposition to all those forces simultaneously working together.

The remainder of this paper is organized as follows. Section 2 sets out how this paper conceptualises world order. The underlying ideas here will be familiar to most readers but the atypical language recasting will help present the subsequent economic analysis more efficiently. Section 3 develops the hypothesis that economic considerations now work alongside geopolitical and security concerns to worsen world fragmentation. Section 4 advances the principles for stabilizing world order. Finally, a brief summary is provided in the concluding Section 5.

2 World Order and Its Fragmentation

By **world order** I mean a particular setting for the rules, norms, and conventions that govern the behaviour of nations towards one another. Examples of such settings might include rule of law; freedom of navigation; respect for national sovereignty and territorial integrity; procedures for international dispute resolution; agreement on the parameters for flows of labour, capital, and goods and services (including digital versions of these); and so on.

International institutions such as the IMF, World Bank, and the World Trade Organization are concrete manifestations of rules and conventions, and so are included in the definition of world order. Nations are part of a world order when they subscribe to that order's rules, norms, and conventions.

World order does not have to be official: Part of world order is the world reserve currency, which is an unofficial naming of some currency to global pre-eminence that emerges through hundreds of millions of uncoordinated savings and exchange choices by individuals and financial insti-

tutions across the world. World order can also show multiplicity without inconsistency: history and logic both allow multiple co-equal world reserve currencies circulating alongside one another.

World order assumes the entire world is the cross section of nations that subscribe to it, but of course, when appropriate, the definition allows natural forking into subdefinitions of regional orders. Absence of rules is, by logic, also a rule, just a particularly simple one. Hence, anarchy is also an instance of world order. World order includes the possibility of disorderliness.

Sovereign nations choose their own systems of government: therefore, in a world order that includes independent self-determination and national sovereignty, labels such as democracy or autocracy are not necessarily helpful. Historically, however, labels like these have been used to categorize blocs of nations across the world. The collection of all possible "rules, norms, and conventions" constitute a high-dimensional mathematical space; a particular world order is just a point in that space. As world order evolves, a trajectory of points is traced out in the space of possible world orders.

International economic relations constitute an important subset of world order. World order, thus, typically includes rules that govern international trade and foreign investment, as well as principles and procedures for trade and investment dispute resolution. Rules here might seek to establish not just the principles of exchange but also the nature of economic competition across nations, conditions under which market economies become no longer market economies because of, say, excessive state intervention, and so on. For concreteness when needed, this economics-directed subset of world order will be referred to as the **global economic order**.

World order fragments when one or more of the following occur. The cross-section of nations can de facto partition into separate blocs, each seeking to have progressively less to do with others. Alternatively, nations can put pressure on the boundaries of the locus of acceptable behaviours. The order-rule of national sovereignty, for instance, would be tested by a foreign power's seeking regime change or prosecuting military invasion or interfering with a nation's domestic political affairs. When its global economic order is globalization-oriented then world order fragments when nations set up barriers to trade and foreign investment.

World order can adapt to fragmentation pressures in different ways. The rules that constitute an order might be rewritten to increase the lo-

cus of flexibility: this keeps within the fold those members seeking to deviate from the original rules. Or world order might partition into non-overlapping, non-interacting sub-orders, perhaps dividing geographically, or by differences in political systems or alternative approaches to economic organization: world order then comprises not a single consistent system but becomes a (mathematical set) union of disjoint sub-orders.

2.1 Models for Stable World Order

Great Power competition provides a concrete framing for this analysis. Call Great Powers those nations that show a discrete upwards separation from other nations in population count, economic size, military capabilities, or resources generally. A branch of Realist theory hypothesises that conflict between incumbent and rising Great Powers erupts with high probability at a time of Power Transition (Allison, 2017; Mearsheimer, 2014).

Different formalisations for this are possible. The standard model hypothesises that nations seek to maximize the probability of their survival subject to feasibility constraints. Under assumptions such as how survival probability is reduced if one is not the most powerful nation, such an optimization program has solution that instructs the incumbent to contain its rising competitor at such time when marginal benefit to containment just equals marginal cost. That critical instant is hypothesised to occur at a specific point in the trajectory of the rising power relative to the incumbent, before parity. Under these assumptions, Realist theory predicts the likelihood of world fragmentation is maximised at the point of power transition.

This model's structure of cause and effect can be alternatively described. Although not just "might makes right", the Power Transition model hews to Thucydides's description that "the strong do what they will; the weak suffer what they must".[1]

A related but logically distinct structure is represented by Hegemonic Stability Theory (Keohane, 1984; Kindleberger, 1973): the model here asks what can hold together the world's cross-section of nations when each of

[1] I have translated this to say the strong do what they *will*, not just what they can, which is how the statement appears in Strassler (1996, 5.88, Book Five). As a matter of logic, both strong and weak always do what they can; it is impossible to do what one cannot. Observing merely that the strong do what they can fails to provide meaningful contrast to the weak suffering what they must.

those nations is continually buffeted by exogenous shocks. Examples of such disturbances include the collapse of consumer and investor confidence so that unemployment rises, in turn worsening a vicious cycle of recessionary tendencies; macroeconomic instabilities or financial crises; and natural disasters in specific nations. In the model, global stability is maintained by having a hegemon—a nation with sufficient concentration of power and resources—capable of serving as benevolent banker, consumer, lender, and security officer of last resort.

Yet a third example is represented by the hypothesis that nations raise their security stance when they notice competitors doing so. Whether the initial impetus was indeed taken with a goal of offense or, alternatively just for defense, the hypthesis is that under uncertainty, the potential responder will just follow suit. This is called the Security Dilemma, with the possibility of a vicious cycle of tit-for-tat responses (Tang, 2009). In Security Dilemma too, unipolarity implies stability: a Great Power that is far and away superior to all others would not see need to respond, and so the Security Dilemma spiral would not begin.

2.2 Multipolarity as Causal Variable

In all these quite different models, the distribution of power across nations determines global outcomes. Indeed, in many conceptualizations of world order, the power distribution across national players is the critical causal factor for the dynamics of the international system.

The traditional social science language used to describe power distribution follows probability theory: a unimodal, single-peaked distribution of power and resources is called **unipolarity**, where there is marked concentration around a single point. A bimodal or twin-peaked distribution is **bipolarity**, with concentration around two distinct points. More generally, a multi-peaked distribution of power across nations is **multipolarity**. In Power Transition, Hegemonic Stability, and Security Dilemma theories, as well as many others, unipolarity, bipolarity, and multipolarity all have different predictions for the stability of world order.

From a perspective of egalitarianism, it might seem desirable to have the world multipolar or even, in the limit, displaying a uniform distribution of power with each nation representing a peak as much as any other. For world order, however, many models predict that it is, instead, unipolarity—the

most unequal distributions of power—that allows world order to be least fractured and most stable.

Hegemonic Stability Theory displays this most clearly. There, the ranking of nations by power—just a single feature of the distribution of power—is the critical determinant of world order. When the system's degree of multipolarity rises, the gains from the hegemon providing global public goods declines. The gains that the hegemon draws from providing for the entire community of nations are shared more and more with others, equitably. At the margin, the incentive to provide for the entire system falls. Thus, the forces for hegemonic stability declines, and thus the potential for fracture and instability increases.

As previously already discussed, Power Transition theory takes ranking and the competition over it to be the system's causal driver.

For easy description hereafter, unipolarity, bipolarity, and yet other forms are usefully considered as just different values along the axis of polarity, i.e., they are simply different degrees of multipolarity. The conclusion from this quick overview can be stated succinctly: Multipolarity is causal for world order, with the degree of multipolarity determining the stability of the international system.

2.3 Multilateralism as Outcome Variable

If the degree of multipolarity is causal for world order, then the degree of multilateralism is one of its outcomes.

In common language and practitioner usage, multilateralism is understood to be that feature of the international system, covering primarily trade and security relations but potentially others as well, that assures appropriate fair and equal treatment across nations. Thus, multilateralism is when there is a sufficiently dense combination of the following three elements: (1) an inclusive and level playing field for cross-country engagement, including notably an equal-access open trading system; (2) a nondiscriminatory, rules-based order; and (3) a default expectation of collaboration on addressing international challenges.

An important implication of multilateralism is therefore the so-called most-favoured-nation (MFN) clause, where treatment by one nation of another under favorable terms calls for immediate extension of such treatment to all nations. A second key consequence of multilateralism is it enhances

every individual nation's security because a threat to any one nation activates rules and collaboration that bring together all, thus raising collective security in defence of the threatened member. The critical part of this, as with MFN, is anonymity, i.e., that there is no a priori identification of either the threat or the targeted victim. The principles of multilateralism apply anonymously and fairly to both unknown antagonist and unknown target. Finally, a third significant implication is that large nations don't take advantage of smaller ones by dint of might and power. Logically equivalent, multilateralism can also be taken to comprise three differently-stated principles: (1) indivisibility of interests; (2) reciprocity; and (3) commitment to peaceful resolution of disputes (Kahler, 1992; Ruggie, 1992).

All else equal, multilateralism is obviously highly valued by small states. By its striving for a level playing field, multilateralism privileges, at the margin, those with less power over those with more, those that are small over those large.

2.4 A World Order Equality Paradox

Multipolarity and multilateralism jointly form a paradox in world order. If high concentration of power, i.e., unipolarity, makes for stability in world order, why is strong multilateralism—i.e., diffusion of privilege away from the powerful—to be expected for the international system? Some act of conscious intervention must be present if a stable unipolar world order is to be made multilateral. Inequality in cause would not otherwise imply equality in outcome. Indeed, it was at the height of US-centered unipolarity, that in the view of some observers, peak multilateralism emerged:

> *Multilateralism, international governance of the "many," was defined by the United States after 1945 in terms of certain principles, particularly opposition to bilateral and discriminatory arrangements that were believed to enhance the leverage of the powerful over the weak and to increase international conflict. Postwar multilateralism also expressed an impulse to universality (John Ruggie's "generalized organizing principles") that implied relatively low barriers to participation in these arrangements.*
>
> (Kahler, 1992, p. 681)

Conversely, as the world grows more equal and control over resources rises in non-traditional global centers of excellence, will the decline in unipolarity or, equivalently, the rising degree of multipolarity lead inadvertently to instability and fragmentation in world order?

3 Economic Interdependence

With geopolitical rivalry the most visible cause for fragmentation of world order, its source and channel of emergence are important to unpack. Moreover, this US-China competition is not taking place in isolation. Given the discussion in Section 2, this fragmentation needs to be considered against the backdrop of a general rise in multipolarity and its implications for world order.

US-China geopolitical rivalry today is regularly compared to the Cold War of the mid 20th century. Such language is suggestive of the same deep geopolitical and security concerns as experienced then. During the Cold War, the US-Soviet arms race, coming out of co-equal combat against the Nazis in World War 2, saw the Soviet Union build its nuclear weapons, army, and air force to where Soviet military capabilities matched those of the US. In the Cold War, the US (and the West more generally) contended with an alternative political system actively promoting communism to replace democracy and capitalism. Across the emerging world, the Soviet Union sought influence, supported regimes that threatened their neighbors, and encouraged communist insurgency movements that destabilized nations. There is little question that in the Cold War the West's security and way of life were under threat.

Today, however, these same Cold War characteristics are more difficult to document credibly in US-China relations. The US is, without question, the world's most powerful military force in every measure, including in strategic alliances, advanced technology, and global extent. Even if its military expenditure is rapidly rising, China comes nowhere close to the US in aggregate defense spending, in force projection (aircraft carriers), and in aircraft technology. With China having four times the population of the US, its annual military spending remains under a third. The situation differs significantly from that between the US and a highly militarized, post World War 2 Soviet Union.

China remains communist in name but its economic system draws in-

spiration from capitalism. The last four decades of China's economic development has been driven by massive flows of foreign capital into a manufacturing sector that operates to exacting global standards on its production outputs, and that seeks maximise profit, not promote socialist ideals. True, China's economy is not entirely free market, but in this, China is not markedly different from many Western economies. A significant fraction of China's markets are arguably more competitive than those in many democracies, both emerging and mature and both West and East. Many Chinese companies routinely suffer losses and go under. If, in business, Chinese industry practice were to replace the West's, Western workers might well find it disconcerting, but not because those practices threatened the Western way of life in favour of bloated lazy socialism. Instead, the opposite.

As did the Soviet Union, China seeks influence across the world. But in this, China is exactly like all other nations, democracies and otherwise. Unlike with the Soviet Union, however, there is no credible evidence that China seeks international communist revolution to replace democratic capitalism.

3.1 Not another Cold War: China Shock

Nowhere in writings on the Cold War, even those as magisterial and encompassing as Westad (2017) say, is there expressed the idea that the Soviets were "taking American jobs, hollowing out American industry, stealing America's intellectual property." Such charges simply never featured in the list of grievances between the US and the Soviet Union. They are, however, high among the factors driving US-China rivalry today.

To be sure, China's military rapid-modernization, influence operations, retaliatory economic sanctions, actions in the South China Sea, and cyberhacking activity obviously attract concern worldwide (e.g., BBC, 2023; Kolstad, 2020; Mozur and Buckley, 2021; Wong, 2024). Equally unhelpful, however, has been US arbitrariness and inconsistency on key international agreements. While the US draws on the 1982 United Nations Convention on the Law of the Sea (UNCLOS) when it insists on Freedom of Navigation access to the South China Sea), it refuses to become an UNCLOS signatory (Beckman, 2022). The US's official agreement with China includes the One China Policy that " 'acknowledges the Chinese position that there is but one China and Taiwan is part of China' and that the PRC is the 'sole legal

government of China'". However, the US will now and then test its own stated policy by insisting that acknowledgement differs from agreement, and acting as if it viewed Taiwan as a separate sovereign state (Maizland, 2024).

All such actions test the boundaries of rules-based order. But they are, in the main, not confined to just US-China rivalry nor to states having different values and political systems. All states with capability engage similarly. For example, the US's National Security Agency (NSA) has been documented as follows:

> *Through a program called PRISM, the NSA was able to demand access, under Section 702 of the Foreign Intelligence Surveillance Act (FISA) Amendment Act of 2008, to data of non-US citizens stored at most of the American technology giants, including Google, Apple, Facebook, and Microsoft. This gave the NSA the ability to collect and analyze the e-mails, texts, chats, phone calls, Facebook posts, tweets, and documents of people worldwide. Through a process the NSA calls upstream collection, it taps directly into the cables and networks passing through the United States. Huge amounts of data traveling across AT&T, Verizon, and other networks are copied, and then the data of non-US citizens is selected for analysis based on certain government criteria.*
>
> (Segal, 2016, p. 21)

Just as informative as fact is attitude. When the US was accused of spying on then German Chancellor Angela Merkel, the response by an American commentator was not to deny but to suggest that those angered were either naive or disingenuous:

> *Countries have a justified interest in informing themselves about the goings-on and prospective developments around the world, including in friendly countries.*
>
> (Braw, 2021)

None of this is to suggest that "two wrongs make a right" or that geopolitical and security concerns are out of place. Given the range of competing

arguments, it helps to be clear about the relative strengths of the different forces at work, not least for properly calibrating the tradeoff between the benefit and cost of disrupting world order.

Importantly, there are observers who argue that even conditional on all these security and geopolitical concerns, further fragmentation of world order—complete decoupling of US-China trade relations, for instance—remains unlikely. The title "The Price of Fragmentation" makes clear the concerns over the magnitude of the systemic global costs of world fragmentation estimated at IMF: seven percent of global GDP, "the combined GDP of France and Germany and more than three times the size of the entire sub-Saharan African economy" (Georgieva, 2023, p. 135). Such a collective concern is rightly the domain of any institution that represents the entire community of nations.

Policymakers in individual nations, however, act not on concerns about the collective good but on those over the national well-being. While positively correlated, globally collective and national interests are not identical. It could well be that while the global costs are large, each nation might feel it can free-ride and be unaffected. For national policymakers, Gopinath (2024) explicitly describes how they too "undoubtedly face difficult tradeoffs between minimizing the costs of fragmentation and maximizing security and resilience." Yet other scholars such as Nye (2021), while not as explicit as the IMF, go further and reckon that the solution to the optimization problem that Gopinath describes will show appropriate weight on the costs of fragmentation. Thus, Nye speaks of the deep economic interdependence between the US and China and suggests further attempts to decouple the two economies would engender "enormous costs", presumably at the national level not just globally.

While the global price to fragmentation is almost surely significant, that individual nations internalize those costs is, this paper suggests, doubtful. Political debate in many Western economies, and most notably the US, provide little evidence that there is explicit acknowledgement of the benefits of economic integration. Instead, there is generalized concern about the costs that advanced Western economies are having to endure for it.

A world with increased multipolarity is described as one where the "benefits advanced economies derive from supporting global public goods, such as international trade, are increasingly shared with other countries" (Gaspar et al., 2018) While this description is positive—part of what it points

out is that everyone wins—from a relative gains perspective, it also says that the traditional centres of power lose from this dynamic that is improving equality across nations. The change is, moreover, not just general but geographically directional. The measurable shift in the world's economic centre of gravity is eastwards (Quah, 2011), and has diminished the 20th-century concentration of hegemonic power in the Transatlantic economies. In the framework of Section 2, as the world has become more multipolar, and thus more equal, the tendency towards instability in world order has also grown.

This sees concrete form in what is now commonly known as the "China shock", and that has been behind the calls for decoupling and de-risking actions against China. In this analysis, it is not the decoupling or de-risking or the differences between them that matters; instead, it is that these be just de-China. The shock component rests foremost in the economics of "taking our jobs, hollowing out our industry, stealing our intellectual property". Whether this is because the US is simply uncompetitive or because China cheats—through its business practices, its state collaboration with industry, and its manipulating the value of the Chinese RMB—relative to its status as developing nation is a matter that remains still to be decided based on evidence and international adjudication.

There are likely two further dimensions to the "China shock" that are important to make explicit. First is that the decline in unipolarity has been far more rapid than many expert observers expected. Allison et al. (2021, p. 1) describe how as late as the turn of the millennium,

> *Time Magazine's special issue Beyond 2000 asserted confidently: "China cannot grow into an industrial giant in the 21st century. Its population is too large and its gross domestic product is too small." With a per capita income at roughly the same level as Guyana and the Philippines, most Chinese did not have enough money to buy advanced technological products — let alone the resources to invent them.*

This was not just wishful thinking but the logical conclusion of a widely-accepted view on how China's economic foundations engaged with modern production modalities:

> *... according to the dominant school of thought at the time, as noted by China scholar William Kirby in the Harvard Busi-*

> *ness Review, many believed "China largely a land of rule-bound rote learners". Advances in information technology could only be made in free societies by free thinkers, not under an authoritarian regime behind a firewall, the logic went.*
>
> (Allison et al., 2021, pp. 1–2)

The second auxiliary is that this economic progress did not come with the attendant political changes that, again, many expert observers expected. In March 2000 then-President Clinton remarked that China attempting to control the Internet would be like "trying to nail Jell-O to the wall"[2] (Clinton, 2000). Political theories developed in, e.g., Fukuyama (1992); Lipset (1959) led many to expect that China's political system would converge towards Western-style liberal democracies as its per capita income rose and social and economic structures modernized. This failed to take place.

This Section has argued that, together with geopolitical and security concerns fragmenting the world, economic considerations matter as well. Moreover, those economic considerations cannot be relied on to provide countervailing forces against world fragmentation. That economic integration raises the cost of fragmentation is a global collective argument; it does not apply for policymaking in individual nations.

The "China shock" is the most relevant current development in this equation. Similar features, however, manifested for US-Japan relations in the 1980s (Vogel, 1979; White, 1985). Then too surprise was expressed about how determinedly and quickly Japan moved from dependence on the West, after World War 2, to superior economic and technological achievement. Then too did American policymakers make reference to geopolitics and security, even with Japan obviously already democratic and firmly in America's Pacific Alliance. In an influential, widely-read piece on how Japan raced ahead, White (1985) wrote:

> *But the more important thing that went wrong (. . .) was almost too simple to consider. If all people of the world were entitled to equally free trade, then the cheapest producers would be those*

[2]Interestingly, Clinton also said at that same time to his American audience "Most of the critics of the China WTO agreement do not seriously question its economic benefits." This, again, is the central part of the "China shock".

> *who paid their people least, yet mastered world-class technology. In other words, nations whose workers were grateful for starvation wages could conquer the markets of countries like America, whose workers demanded the world's highest wages.*

Economics says, of course, those other nations don't have to pay exactly starvation wages, just wages lower than in "countries like America". White warned that it wouldn't be just Japan that mattered in this analysis but "behind loom China and India, desperate as they are to raise their standards of living—at the expense of American standards, if necessary". In this reasoning is not just Japan that stands ready to compete against the US thus but also China and India. Indeed, every single time in the article White compared China with Japan, India is always mentioned alongside the former. Given that China and India are, and were, the only two nations with a workforce approaching a billion each, the juxtaposition is natural. But what this analysis also highlights is that any nation—autocracy or democracy—that ends up in the same economic position relative to the US will come under the same scrutiny on its economic profile. Disappointment, therefore, might lie ahead for those nations today—Vietnam, India, Mexico—that imagine themselves benefiting from US-China conflict by playing a strategy of being America's "China plus 1", i.e., seeking to take up those parts of the global supply chain that China is now forced to relinquish. There is every reason why "plus 1" nations could eventually become themselves the target of US-X rivalry, just as X has shifted from Japan to China.

4 New Principles

The reasoning from Sections 2–3 cautions that world fragmentation might, with even higher likelihood, imminently worsen. The countervailing force that some observers hope will emerge from considerations of economic integration is likely weaker than those of geopolitics and security. Alternatively, whether or not the geopolitical and security considerations are genuine and profound, what matters is their alignment of the centrifugal force now seen to be emerging from economic relations.

The parameters of this challenge of global fragmentation therefore make urgent the need for some mechanism that can help check the destabilizing

dynamics that are already in place.[3] This section suggests four principles to help reduce further world fragmentation. As the analysis will become relatively abstract, it is helpful to set down first what those principles will turn out to be.

The first principle: use nations' self-interests: look for problem domains where *inadvertent cooperation* arises, i.e., where nations even though only looking out for just their self-interest end up, inadvertently, improving the collective good. This is not to say nations are actively seek to draw down the collective good to benefit themselves. Instead, it refers to when nations are indifferent on matters outside their individual well-being: whether the collective good rises or falls is not their concern. Inadvertent cooperation occurs when collective well-being rises even though there is no conscious attempt at collaboration. In Adam Smith's words, "It is not from the benevolence of the butcher, the brewer, or the baker, that we expect our dinner, but from their regard to their own interest."[4]

Second, divide and conquer: across those problems that world order sees as challenge, some admit inadvertent cooperation (or come close); others are zero-sum problems; yet others show *epic fail* features, i.e., have equilibria under individual optimization that, for all nations, are unambiguously strictly worse than other outcomes that are feasible but are not equilibria. Prisoners Dilemma games are examples of these. Epic fail challenges are not zero-sum problems; they are worse. Separating out these three different kinds of global challenges help focus the design of guidelines and rules, and thus help reduce the fragmentation of world order. Under certain conditions, epic fail problems offer the possiblity of third party nudges, i.e., small side-payments, judiciously applied, can produce a large shift in the equilibrium outcome, away from where everyone loses to where everyone wins.

Third, if multilateralism does not emerge as an equilibrium for all the nations in a particular world order, restricting membership might help. *Plurilateralism* is a constrained multilateralism where within its membership all the features of multilateralism apply, but that plurilateral membership is only a strict subset of the entire community of nations. All nations

[3] A recent article with goals and approach closest to the current paper is Rodrik and Walt (2022), although our formalisms and proposals end up quite different.

[4] Economists will recognise how if there is a price system this is just the Fundamental Theorem of Welfare Economics.

are free to join or leave a plurilateral system, but the requirement is that those within must obey its rules while those outside are not permitted to disrupt. By remaining open and inclusive in potential membership while requiring certain codes of behaviour for those inside, a plurilateral system can be effective in delivering a restricted multilateralism and, additionally, can permit full-blown multilateralism to re-emerge when the larger community sees benefit for all.

The remainder of this section provides an analytical framework, using basic game theory, to illustrate the workings of these principles. The discussion will vary across a range of different payoff matrices to describe alternative scenarios, and consider situations where side-payments enter the frame. International Relations research has a long and fruitful history using such a methodology to provide a unified approach to different models (Axelrod and Keohane, 1985).

Following the discussion in Section 2 describe the situation for the Great Powers in the payoff matrices that follow. The situation for other nations fall outside explicit accounting in these payoff matrices but will be described as appropriate.

4.1 Inadvertent Cooperation

Begin with the standard Ricardian comparative advantage scenario in Economics, where trade makes everyone better off. Embedded in this scenario is further that an economy is better off unilaterally seeking trade, even if its trading partners don't fully open their borders.

Table 1 presents a payoff matrix that illustrates the intuition underlying inadvertent cooperation. In the Table, each nation will end up playing the Trade strategy, regardless of expectation on what the other nation does. Thus, although no explicit coordination mechanism is in place, the Trade equilibrium emerges spontaneously.

The policy challenge, obviously, is that not every international engagement in world order will come with a payoff matrix having the same essential features as Table 1. For payoff structures close to but not allowing inadvertent cooperation, a policymaker can seek to perturb the payoff entries to bring about the desired outcome inadvertently even though nations seek only individual self-advancement. It is in this spirit that Ruge and Quah (2024) suggest issue-linkage policies (Axelrod and Keohane, 1985,

	Trade	Autarky
Trade	$(+100, +100)$	$(+95, +90)$
Autarky	$(+90, +95)$	$(-100, -100)$

Table 1: Inadvertent cooperation. In the standard Ricardian comparative advantage model, trade is good for all even when each nation acts only on their own self-serving instincts. No explicit coordination is neede. In the table, deviation by any nation into the Autarky strategy inflicts some self-harm, regardless what the other nation does. But correspondingly, the Trade strategy is always preferred by the nation independent of the other nation's actions, i.e., Trade is a dominant strategy.

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p. 239), tying trade to considerations such as climate change and inequality. Even if such policies end up distorting away from free trade, at least they forestall full-blown protectionism.

4.2 Epic Fail: A Zero-Sum Game isn't Tragic

Define an **epic fail** game to be when two conditions hold. First, there must be at least one outcome where everyone wins, i.e., where all nations see positive gain. Second, every equilibrium outcome is worse for everyone compared to some other outcome in the game, regardless whether the comparator outcome is an equilibrium.

Contrast the epic fail idea, to be formalized in Table 3 to follow, with the more familiar zero-sum game in Table 2, where every outcome has that one nation gains only when the other nation loses.

Cross-nation interactions provide many examples of zero-sum games. Power Transition—as described in Section 2—between the numbers 1 and 2 nations, by power rank, is a zero-sum game: number 2 only ever becomes number 1, when number 1 loses its lead position. Indeed, extrapolating, every situation where ranking matters is a zero-sum game. Along the same lines, international relations engagements where relative (rather than absolute) gains are what nations care (Powell, 1991) about are zero-sum games. Territorial disputes are, by physical logic, zero-sum games. Finally, geopolitical rivalry that partitions world order into different spheres of influence is a zero-sum game: bystander nations can below to one and only one

	A	B
1	$(+5, -5)$	$(-10, +10)$
2	$(+10, -10)$	$(-5, +5)$

Table 2: Zero-sum Game. Regardless of specific actions by different nations, whatever one nation gains is exactly that the other loses. Equilibrium is (2, B) but notice that the other diagonal entry (1, A) is not socially preferred to the equilibrium. This is unlike an epic fail setting such as Table 3, where everyone can agree **Collaboration** is preferred but is simply not reachable. Indeed, in this zero-sum game, there is no other outcome preferred by everyone to the equilibrium (2, B).

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sphere. Selecting a sphere of influence means relinquishing membership in all others.

With zero-sum games, there is no room for compromise. No perturbation to the equilibrium outcome will result in an unambiguous gain.[5] Thus, there is no purpose in attempting to intervene in such a scenario. The principle here is just to leave be those nations intent on playing a zero-sum game.

Despite its regular invocation to describe geopolitical challenge, a zero-sum game such as that in Table 2 is not epic fail as the latter's first condition fails: there is no outcome where everyone gains. A zero-sum game might imply equilibria where some nation reckons it should have done better. But such a zero-sum outcome does not carry the social tragedy implied by an epic fail.

A Prisoners Dilemma game is an example of epic fail. In Table 3 the equilibrium, where both nations play Confront, is worse than the non-equilibrium outcome, where both play Collaborate. Both epic fail conditions are thus satisfied in Prisoners Dilemma.

Conversely, however, there are epic fail games that are not Prisoners Dilemma games. This is because epic fail specifies fewer restrictions on non-equilibrium and equilibrium outcomes than do Prisoners Dilemma games. Over-fishing a common resource, for instance, is an epic fail game but is

[5] Indeed, every outcome in a zero-sum game, equilibrium or otherwise, is Pareto efficient.

	Cooperate	**Confront**
Cooperate	$(+100, +100)$	$(-101, +101)$
Confront	$(+101, -101)$	$(-100, -100)$

Table 3: Epic Fail. This game relabels the payoff structure of the classical *Prisoners Dilemma* game to highlight that (**Cooperate**, **Cooperate**) is not that undesirable social outcome where, in the usual interpretation, both prisoners get away unpunished. Here, that outcome is actually good for society overall as much as it is for the two players. The unique equilibrium in the game is $(-100, -100)$ with both nations playing **Confront**, even though the $(+100, +100)$ **Cooperate** outcome, that is both feasible and better for everyone, is not an equilibrium.

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not a Prisoners Dilemma game.[6]

In the epic fail game of Table 3 the unique equilibrium has payoff properties strictly worse than another outcome that is feasible. However, gridlock at the bad unique equilibrium keeps nations there, since those nations seek to advance their self-interest individually, in the absence of an explicit cooperation mechanism. In such situations, small nudges can dramatically shift the equilibrium. In the matrix of Table 3 describing payoffs to the Great Power nations, a side-payment of 1.1 (say) from other nations to the two Great Powers in favour of Cooperate will shift equilibrium away from Confront.

Epic fail characterises many of the most important issues live in international policymaking. A leading example is techno-nationalism where each nation seeks to get ahead and ends up duplicating costly experiments and where neither shares research ideas. Scientific progress is faster and more assured with scientists "standing on each others' shoulders". A second example is industrial policy (Juhasz, Lane, and Rodrik, 2023). Industrial policy can take a form as previously practiced in East Asia in the late

[6] While this precision in logic is important, more critical for the purposes of this paper, however, is that the Prisoners Dilemma game conveys the wrong message for the geopolitical rivalry situation of interest. In Prisoners Dilemma the cooperative outcome sets both prisoners free. That is good for the prisoners but is not particularly so for the rest of society overall, i.e., for the collection of Third Nations in our setting. Much better is to use a language that shows the desirability of a win-win but non-equilibrium outcome.

20th century, seeking advantage through targeting advancements in the nation's industrial productivity. Competitors can exit or remain, but the latter only by also improving their own productivity. Those productivity improvements then benefit the end-consumer.

Alternatively, industrial policy can take a form that seeks only relative gain under geopolitical rivalry, undertaking even self-inflicted harm—perhaps by engaging in extremely costly inefficient production activity—so long as the national rival suffers more.

Finally, wars often result in epic fail outcomes. The list of Pyrrhic victories is long in military history, ranging from Roman times (the original Pyrrhic victory at the 279BC Battle of Asculum, of which Plutarch wrote "If we are victorious in one more battle with the Romans, we shall be utterly ruined") through specific battles in the Vietnam War.

These different examples—from techno-nationalism through military Pyrrhic victories—engender different magnitudes on gains and losses. Sufficiently large expenditures make it impossible for outside policymaker intervention, especially if situation has arisen from Great Power rivalry. Otherwise, however, third nations—those that are not the Great Powers themselves—can contemplate coming up with sufficient side payment to nudge the equilibrium out of debilitating and harmful gridlock.

Finally, there could well arise circumstances where a combination of zero-sum intractability and overly-costly epic sum gridlock makes systemic improvement impossible. Subsets of nations might then find it optimal to drop out altogether of that world order, even if it had originally provided the multilateralism that they needed. Those nations might, thus, still find valuable the old order's norms, rules, and principles. It is just that the behaviour of some of the original members makes cross-country engagements impossible. In this case, a **plurilateral** fork of the original order might be set up by amenable subsets of nations. This is when as much of the original multilateralism is preserved but now applies only to a restricted willing subset of the original order.

In the case of the World Trade Organization (WTO), such plurilateral subsetting has indeed emerged. Because the WTO Appelate Body had not been functioning, with the US blocking appointment of new members, in March 2020 sixteen WTO members drew on Article 25 of the WTO Dispute Settlement Understanding to set up an alternative Multi-Party Interim Appeal Arbitration Agreement (MPIA) empowered to resolve WTO disputes

for its restricted membership. Plurilateralism thus provides a constantly-evolving grouping where members work under that restricted-membership multilateralism. Those who disagree are free to leave the group; those not in the group are not permitted to disrupt the workings of the group. Plurilateral arrangements are otherwise open and inclusive, and are set up explicitly to allow melding in of the larger multilateral order whenever the latter is again ready.

A less formalized alternative subsetting has also emerged under the label of **minilateral** forking. Minilateralism seeks collaboration on only a restricted set of critical issues, without requiring its membership to share values or ideology. The International Solar Alliance comprises 121 nations and works to advance the use of solar energy. China's Belt and Road Initiative (BRI) is viewed by some to be a form of minilateralism.

This last BRI example highlights, however, a potential drawback of minilateral subsets. BRI has, obviously, been a source of international tension and world fragmentation under the current US-China rivalry. Minilateral solutions to world fragmentation can themselves be a force for yet further fragmentation. By having more restrictive memberships focused on special, critical challenges, minilateralism can jeopardise the possibility of the international system taking on yet larger global challenges.

5 Conclusion

This paper has described world order and its relation to multipolarity as cause and multilateralism as effect. It has described how the geopolitical and security forces for fragmentation are now reinforced, not held back, by perceptions on how economic integration operates.

In such circumstances, urging the nations of the world to cooperate will no help reducing world fragmentation. Without clarifying the different underlying causes, little is available by way of tools to help keep world order from becoming ever more disorderly and fragmented.

The paper proposes three guiding principles for helping reduce further world fragmentation. First, provide mechanisms for inadvertent cooperation, where nations looking out for their own self-interest while oblivious to the collective good, nonetheless will help advance that collective good. Second, divide up the challenges confronting world order into those where inadvertent cooperation is possible, those that are zero-sum games, and

those that produce epic fail outcomes. Zero-sum challenges are intractable, and there is no point further deliberating over them. Epic fail outcomes admit the possibility of third-party nudging, so states other than Great Powers might be able to exercise agency and nudge world order away from further fragmentation.

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